MORE THAN MONEY · MTM STRATEGIES

Momentum

Direction-following by colour: green buys, red sells, and you only enter with the confirmations on your side.



Strategy guide

morethanmoney.pt

STYLE

Direction-following with confirmations, mainly intraday

ASSETS

Forex, crypto, indices and commodities; the examples are on gold (XAUUSD)

TIMEFRAMES

1 hour, 30 and 15 minutes are the most consistent; 1 and 5 minutes for scalping; 4 hours to weekly for days or months

01

The strategy in a nutshell

Momentum is the MTM scanner that draws an indicator right on the chart. It works by colour: green means buy (long), red means sell (short).

The indicator brings together five pieces: the cloud, the cloud's position, an exponential moving average, volume and the RSI. Each one is worth a point, and the total tells you how good the signal is.

Besides the signal, it draws the plan: entry, exits (targets) and invalidation (stop). You work out position size and risk yourself, based on your account.

02

What you see on the chart



The plan's levels. Blue line: the entry. Orange lines: the exits, from Exit 1 to Exit 5, which are the targets. Red line: the invalidation, your stop. In this sell example, the exits sit below the entry and the invalidation above.



Buy: everything reversed. On a buy the exits sit above the entry and the invalidation below. Notice the green cloud and the green moving average, both below the candles, and the green volume in the middle panel.



Cloud, moving average and purple boxes. The green cloud sits below the candles in a move up and the red one above in a move down. The purple boxes over the candles mark a ranging, sideways market: you don't enter there.



Volume and RSI. Middle panel: volume as a histogram, green for buying and red for selling. Bottom panel: the RSI, with the overbought zone at the top (pink) and the oversold zone at the bottom (green).

03

The confirmations

Before entering, answer yes or no to each of the five questions. Every yes is worth one point.

1. Cloud. Is it there and the right colour? Red to sell, green to buy. No cloud, no signal.
2. Cloud position. On a sell, the cloud sits above the candles. On a buy, it sits below them. The right colour in the wrong place doesn't count.
3. Exponential moving average. On a sell, red and above the candles. On a buy, green and below the candles.
4. Volume. The histogram in the middle panel matches the direction: red on a sell, green on a buy.
5. RSI. On a sell, the lines in the red zone crossing down. On a buy, in the green zone crossing up.
6. Score: 5 out of 5 is an A+ setup, 4 out of 5 is a B setup, 3 out of 5 is a C setup. With 2 or fewer, stay out of the market. The source itself is hesitant about C, so the prudent rule is to trade only A+ and B.

04

Entry and management

1. Read the five confirmations and add up the points. Below 4 out of 5, let it go.
2. The entry is the price on the blue line. The targets are the orange lines, from Exit 1 to Exit 5.
3. The stop is the red invalidation line: if price doesn't reach the targets and gets to it, it takes you out of the market.
4. Work out your position size based on your account before entering. Even with 5 out of 5, don't over-leverage.
5. If the gap between entry and invalidation is too big for your account (as on the 30 minute chart in the example), you can fine-tune the entry: wait for a break of structure, mark the last opposite candle before the impulsive move and wait for price to come back to that zone. The stop sits just beyond it and the entry is better. If price doesn't come back, you don't enter.
6. Respect the stop and let price move towards the targets. The source doesn't set partials or stop adjustments, so follow your own risk plan.
7. Follow the news: it can change the market's direction.

05

When not to enter

- With the purple box over the candles: a ranging market.
- In a sideways market with no clear direction (choppy).
- With fewer than 4 out of 5 points.
- Without having worked out your risk for your account size.
- With a stop too wide for your account, without first trying to fine-tune the entry.

- On a live account without first practising on demo.

06

In practice



Sell on gold, 1 hour. Entry 4461.035, invalidation 4550.15 and exits from 4418.027 to 4245.993. Red cloud and moving average above the candles. The market fell to the third exit.



Buy on gold, 1 minute. Entry 4390.395 and invalidation 4381.365, with the exits above. Green cloud, green moving average and green volume.



Buy, 30 minutes. The red cloud from the decline turned green and the buy appeared: entry 4382.425, invalidation 4350.49. The distance to the stop is wide for a small account.



The checklist. The presenter's table (not part of the indicator) with the five sell and buy confirmations, and the 5/5 A+, 4/5 B, 3/5 C reading.



Range: stay out. The purple boxes show price touching the top and the bottom again and again. With no direction, you neither buy nor sell.



Everything in view. A 1 hour chart with the three panels (price, volume and RSI) and the indicator's entry, exit and invalidation levels.

07

Pocket checklist

- [ ] Cloud present and the right colour
- [ ] Cloud above the candles on a sell, below on a buy
- [ ] Moving average in the right colour and on the right side of the candles
- [ ] Volume in the direction's colour
- [ ] RSI crossing in the right zone
- [ ] Score of 4 out of 5 or more
- [ ] No purple box or sideways market
- [ ] Entry, exits and invalidation read on the chart
- [ ] Position size worked out before entering
- [ ] News checked

Disclaimer. This guide is educational and is not financial advice. Trading forex, indices, metals and crypto carries a high level of risk and you may lose some or all of your capital. Past results do not guarantee future results. Practise on a demo account first and set your risk before every entry.